

The Council — AI Governance Terms of Reference

AI Governance Playbook (Level 5 document, §3.4)

The purpose, remit and decision rights of The Council's AI governance arrangements, and how they operate across The Council's existing decision-making forums.

These terms set out how AI governance operates as an assurance and continuity overlay on the Council's existing forums, the role of the AI Assurance Board and the AI Governance Lead, and how decisions are recorded and escalated. They form part of the AI Governance Playbook (§3.4) and are adopted and reviewed as set out in section 10. They do not establish a new approval body: approval of AI initiatives remains with the Council's existing forums under their delegated authority.

Control status: this is a draft for Council review. It does not create delegated authority until the adopting authority, membership, quorum and relevant Council delegations are formally confirmed.

1. Purpose of AI Governance

AI governance at the Council exists to give proportionate oversight of AI across its lifecycle, so that AI systems are adopted responsibly and their risks are understood and managed. It works with the Council's existing governance, not beside it.

- Assure that AI used across the Council is lawful, safe, fair, transparent, sustainable, accountable and value-for-money, and aligned to Council priorities.
- Apply oversight proportionate to risk, so that scrutiny increases with the tier of the system.
- Maintain the AI Register and a traceable record of governance decisions across the forums (the continuity record).
- Support transparency to residents and staff about how AI is used.
- Coordinate with, and provide assurance to, the Council's existing decision-making forums rather than replacing or duplicating their authority.

2. How AI governance works: an overlay, not a separate track

AI systems move through the Council's existing forums, recorded in the AI Governance Gate Map (AIG-DEC-01). AI governance does not create a parallel approval process. At each gate the existing forum decides under its delegated authority; the AI governance arrangements ensure the AI-specific assurance is carried out once, attached to the system, and made available to every forum.

The AI Assurance Board issues and maintains the current assurance opinion for the system, consumed across the forums. The opinion is refreshed where material changes to risk, authority, capability, model, tooling, memory, delegation or operating environment occur. The AI Governance Lead and supporting function hold the continuity record (AI Register, Gate Log and the Register's Evidence index), which is what gives the AI governance function visibility across the pathway.

3. AI Assurance Board

The Council's body for oversight, scrutiny and assurance of AI. It reviews and provides assurance opinions and formal recommendations at governance checkpoints for Medium-, High- and Critical-tier uses (for Medium, after the AI Governance Working Group's detailed review); it does not decide. It meets at least quarterly and may convene additional meetings where urgent assurance or escalation is required. Remit:

- Assure AI use across the Council so systems are lawful, safe, fair, transparent, sustainable, value-for-money and aligned to Council priorities.
- Review and provide assurance opinions and formal recommendations at governance checkpoints for Medium-, High- and Critical-tier uses (for Medium, after the AI Governance Working Group's detailed review).
- Provide assurance opinions and recommendations based on risk classification and assurance evidence (guided by the AI Governance Lead), including recommendations for further evidence, conditions, escalation or deferral.
- Confirm risk classifications and oversee the risk-tiering approach (guided by the AI Governance Lead).

- Recommend controls, standards and remediation actions for AI systems (guided by the AI Governance Lead).
- Call for a precautionary pause where there is a real risk of harm (Playbook §4.7.17), review any suspension, and recommend continued suspension, resumption, withdrawal or decommissioning; the Service Owner or AI System Owner applies the pause, and the officer or forum with confirmed delegation decides on anything longer.
- Maintain oversight of the AI Register to support transparency and accountability.
- Approve time-limited waivers only where a separate confirmed delegation gives the Board that authority; otherwise provide a waiver recommendation, with risks and mitigations recorded (section 9).
- Report and escalate material incidents, high-risk decisions and annual assurance reporting to the relevant executive member or committee (per the Council's governance arrangements) and the Audit and Risk Committee (or equivalent).

The Board provides assurance opinions, recommendations and, where appropriate, non-binding endorsements. Final accountability for decisions remains with the relevant Service Owner, SRO or delegated authority.

4. AI Governance Lead, Working Group and Operational Function

The operational layer that prepares and holds AI governance, led by the AI Governance Lead and drawing on the Council's second-line functions (information governance, data protection, cyber security, legal, procurement and risk). It is a coordination and assurance function, not an approval body. Remit:

- Perform governance triage and AGPI scoring, and maintain the AI Register.
- Prepare the single assurance opinion and the AI content of each forum's decision pack, using the Decision-Ready Paper template (AIG-DEC-02).
- Maintain the continuity record: AI Register (AIG-INV-04), Gate Log (AIG-DEC-04) and the Register's Evidence index.
- Coordinate the assurance areas: data protection, technical design, third-party information security, ethical assessment, explainability, and bias and monitoring.
- Guide the Assurance Board on classification, tiering, controls and remediation.
- Maintain the AI governance function's end-to-end visibility across the forums.

AI Governance Working Group. The Working Group is the operational governance body within this function (Playbook §3.4). It is chaired by the AI Governance Lead and supports the AI Assurance Board; it is a coordination and review body, not an approval body. Remit:

- Review AI intake submissions and confirm triage, priority and risk tier with the AI Governance Lead.
- Carry out detailed review for Medium-tier uses and prepare recommendations for the Assurance Board and the deciding forum.
- Maintain the AI Register, coordinate AI risk and impact assessments, and monitor governance compliance.
- Track remediation actions and conditions to closure.
- Review High-severity AI incidents within two working days of escalation, and lessons learned (Playbook §6.8.6.3).
- Escalate significant matters to the AI Assurance Board.

The Working Group meets at least quarterly, and more often where the pipeline requires. It may establish specialist sub-groups for specific initiatives or technical reviews. Membership and quorum are set out in section 6.

5. Decision-Making Authority

Decision granularity — retain the system AIR-ID and require decisions to identify the UC-ID(s) expressly covered, with separate outcome, risk/priority basis, conditions and effective/review period per use. A Board recommendation, Register state or shared system decision is not approval for all uses; only an actually delegated decision-maker may decide within the existing delegation.

Approval of an AI initiative is made by the Council's existing forum for that decision, under its delegated authority (see the Gate Map, AIG-DEC-01). Risk tier scales the depth of assurance and the level of Assurance Board involvement; it does not change who approves.

<i>Risk tier</i>	<i>Where the decision is made</i>	<i>AI assurance applied</i>	<i>Recorded via</i>
Low	The officer or forum with confirmed delegation (Service Owner/Service Manager only if delegated)	Lead confirms classification; light-touch assurance	Decision Record or approved minutes; Gate Log event; Register link
Medium	Competent delegated forum/officer under confirmed delegation	AI Governance Working Group detailed review; AI Assurance Board reviews and provides an assurance opinion/recommendation	Decision Record or approved minutes; Gate Log event
High	Competent delegated forum/officer under confirmed delegation	Assurance Board formal recommendation and single assurance opinion; conditions may be recommended; independent assurance review (Playbook §4.5.3, §4.5.9)	Decision Record or approved minutes; Gate Log event
Critical	Competent delegated forum/officer under confirmed delegation, with Senior Responsible Owner (SRO) and Executive Sponsor oversight	As High, plus independent challenge and independent assurance (Playbook §3.10.2), escalation and reporting to the relevant executive member or committee (Cabinet Member/Cabinet or the equivalent committee) and the Audit and Risk Committee (or equivalent)	Decision Record or approved minutes; Gate Log event

Where a classification is uncertain, the higher tier applies. The Assurance Board provides an assurance opinion and recommendations on classification and assurance evidence. It may recommend further assurance, conditions or deferral, but does not itself approve or reject the initiative. Every significant decision is recorded in a Governance Decision Record (AIG-DEC-03) or approved minutes, with a dated Gate Log event (AIG-DEC-04) that points to it, keyed to the AI Register entry. Governance assurance does not remove the Service Owner's accountability for the system's ongoing operation and use.

6. Membership and Quorum

AI Assurance Board (proposed membership, as set out in Playbook §3.4; to be confirmed by the Council): Executive Sponsor; Chief Digital Officer / Chief Information Officer; AI Governance Lead; Senior Information Risk Owner (SIRO); Data Protection Officer (DPO); Legal Services Representative; Procurement Representative; Service Director Representatives; Information Governance Representative. Additional subject matter experts may attend where specialist input is required. Chair: to be confirmed by the Council (proposed: Executive Sponsor).

AI Governance Working Group (proposed membership, as set out in Playbook §3.4): AI Governance Lead (Chair); Information Governance Representative; Data Governance Representative; Cyber Security Representative; Digital, Data and Technology (DDaT) Representative; Procurement Representative; Legal Representative; Service Owner Representatives. Risk Management and other second-line functions may attend as required.

Quorum (proposed, confirm on adoption): for the AI Assurance Board, the Chair (or authorised deputy) plus three members, including at least one second-line assurance function; for the Working Group, the Chair (or authorised deputy) plus two members, including at least one second-line assurance representative. A member unable to attend may send an authorised deputy. Each meeting records attendance, declarations of interest,

recusals and quorum. A conflicted member must not participate in or vote on the relevant decision. The Board may co-opt specialist expertise where required.

7. Meetings, Papers and the Continuity Record

- The Board meets at least quarterly, with extraordinary meetings convened where urgent assurance or escalation is required.
- Papers are circulated in advance and should be decision-ready. The Decision-Ready Paper template (AIG-DEC-02) provides the standard one-page format; the AI governance function prepares the AI content of each forum's pack, not only the Board's.

Lean papers rule: the Board and other forums receive the concise Decision-Ready Paper, not a duplicate evidence pack. Light-touch and Standard route matters should remain proportionate; the detailed evidence trail is available by AIR-ID for challenge or audit.

- The secretariat maintains minutes, tracks actions to closure and records each significant decision in the Governance Decision Record (AIG-DEC-03) and the Gate Log (AIG-DEC-04).
- The Gate Log and AI Register are the continuity record that gives the AI governance function end-to-end visibility across the forums.

8. Escalation and Reporting

- Escalation path: Service Owner to the AI Governance Lead and AI Governance Working Group, then to the AI Assurance Board, and then to the relevant forum, SRO or Executive Sponsor.
- The Assurance Board reports and escalates material incidents, high-risk decisions and annual assurance reporting to the relevant executive member or committee (per the Council's governance arrangements) and the Audit and Risk Committee (or equivalent).
- Incident thresholds are those in Playbook §6.8.4.1: Critical — immediate escalation, and in any event within 24 hours, to the AI Assurance Board, Executive Sponsor and relevant Executive Leadership; High — escalation to the AI Governance Working Group within two working days, and formal governance review; Medium — AI Governance Lead notified the same working day (Part A), with a documented remediation plan agreed within five working days; Low — Service Owner review and local remediation, with Part A to the AI Governance Lead the same working day, recorded in the incident record (AIG-OPS-03) and summarised in the AIG-OPS-02 monitoring log within ten working days (the AI Register holds only a link or status). Staff report to their Service Owner, who notifies the AI Governance Lead the same working day (AIG-OPS-03 Part A); a suspected personal-data breach is referred to the DPO immediately, and any ICO notification is made without undue delay and, where feasible, not later than 72 hours after becoming aware (UK GDPR Art 33). The Playbook §4.7.17 mandatory triggers (significant bias resulting in adverse outcomes; a data protection breach involving AI-processed data; a security incident affecting AI system integrity; a governance failure indicating an inadequate control environment) are escalated to the AI Governance Lead immediately (the same working day), whatever the provisional severity, with consideration of a precautionary pause, and are classified at least High (Proposed — for Council confirmation).

9. Waivers

The Board may approve a time-limited waiver only within its confirmed delegated authority, where a requirement cannot immediately be met and the residual risk is justified. A waiver cannot disapply a statutory or regulatory duty, a required specialist decision or a mandatory escalation threshold. Each waiver records the requirement, justification, risks, mitigations, acceptance authority, expiry date and owner in the AI Register, and is reviewed at or before expiry without automatic renewal.

10. Relationship to Existing Governance, Review and Adoption

These arrangements complement, and do not replace, the Council's existing governance. Data protection, information governance, security, procurement, legal and risk functions retain their statutory and delegated responsibilities, and the Council's existing delivery forums retain their decision-making authority; AI governance coordinates with and assures them rather than overriding them. The AI Governance Gate Map (AIG-DEC-01) is the configuration layer that records which forum owns each gate. These terms are reviewed at least annually at the AIMS management review (AIG-AIMS-09), and sooner following significant regulatory, organisational or operational change.

Adopting authority	
Delegation / decision-right reference	
Effective date	
Chair, AI Assurance Board	
Next review date	

Document control

Administrative control record. This artefact remains a working draft until formally approved.

Document ID	AIG-GOV-06
Version	1.7 draft
Status	Draft for Council review
Document owner	AI Governance Lead
Approving body	Pending confirmation — Executive Leadership Team or other competent Council authority under current delegated powers; verify instrument and scope with Monitoring Officer.
Approval date	Not yet approved
Effective date	Not yet effective
Next review date	To be set on approval: at least annually at the AIMS management review (AIG-AIMS-09), or sooner following material change
Classification	OFFICIAL

Change history

Version	Date	Change summary	Owner
1.0 draft	6 August 2026	Controlled-suite integration: governance remit, proposed membership and quorum, decision rights, conflicts, waiver limits and adoption controls established.	AI Governance Lead
1.1 draft	30 August 2026	Cross-referenced the Decision-Ready Paper template (now AIG-DEC-02) at the points requiring decision-ready papers.	AI Governance Lead
1.2 draft	9 September 2026	Reframed from a centralised AI approval board to an assurance-and-continuity overlay: approval of AI initiatives sits with the Council's existing forums under delegated authority; the AI Assurance Board assures, endorses and recommends; decision-authority table rebuilt on that basis; new section 2 (overlay, not a separate track); operational layer recast as the AI Governance Lead and function; Gate Map (now AIG-DEC-01) referenced as the configuration layer.	AI Governance Lead
1.3 draft	20 September 2026	Added lean papers rule to reduce meeting packs and reinforce decision-ready summaries over duplicate evidence.	AI Governance Lead
1.4 draft	20 September 2026	QA release: clarified that the AI Assurance Board provides assurance opinions and recommendations and does not itself approve or reject AI initiatives; decision authority remains with the relevant delegated	AI Governance Lead

		forum.	
1.5 draft	29 September 2026	QA remediation — applied findings QA-007, QA-009, QA-045, QA-046, QA-060, QA-091, QA-125, QA-131, QA-150, QA-168, QA-172, QA-181, QA-032, QA-043, QA-059 (see QA change log). Working Group remit, membership and quorum added; Board membership aligned with Playbook §3.4 and chair left for Council confirmation; incident thresholds aligned with Playbook §6.8.4.1; lean-papers entry renumbered 1.3 (previously mislabelled 1.1). Final tidy-up: Assurance Board reporting line in §3 and §8 made governance-model neutral (relevant executive member or committee; Audit and Risk Committee or equivalent).	AI Governance Lead
1.6 draft	30 September 2026	v3.9.1: standards cross-reference note updated to the 54-entry requirement inventory (AIG-AIMS-05 REQ-054, Civil Contingencies Act 2004, added).	AI Governance Lead
1.7 draft	30 September 2026	v3.9.2 (pilot-readiness fixes from the scenario test; see QA change log): section 3: the AI Assurance Board may call for a precautionary pause and recommends, and the delegated authority decides anything longer (Playbook §4.7.17; W-03); section 5 tier table adds independent assurance review at High and independent challenge and independent assurance at Critical (W-11); section 8 adds immediate escalation of the §4.7.17 mandatory triggers, classified at least High (W-04). Proposed — for Council confirmation.	AI Governance Lead

Clarification of decision rights for agentic AI

The AI Assurance Board is an assurance, oversight, challenge and escalation body. It does not acquire decision-making authority merely because an AI system or agent is reviewed by it. Final approval remains with the relevant Service Owner, SRO, committee, executive or other delegated decision-making authority under the applicable scheme of delegation.

No waiver may authorise conduct prohibited by law, remove a statutory duty, or substitute AI governance endorsement for a decision reserved to another statutory or delegated authority. Any waiver must identify its legal/delegated basis, duration, conditions, compensating controls and expiry.

For agentic AI, assurance must additionally confirm the authority envelope, capability vector, delegation chain, runtime control status and evidence of containment before recommending production operation.

PROPOSED INTEGRATION ADDITIONS — REVIEW REQUIRED

Proposed custody and decision boundary — AIG-INV-05

Proposed custody boundary: the AI Governance Lead/governance function may maintain the proposed AIG-INV-05 catalogue and reconcile system links against AIG-INV-04, while service/architecture owners validate use-case, capability and component relationships from their authoritative sources. The AI Assurance Board may oversee completeness and assurance; it does not approve individual map edges or grant system access. AIG-INV-04 remains the current-state register, AIG-DEC-04 the separate plan/event/condition history, AIG-DEC-01 the forum-routing map, and delegated Council forums the decision-makers. All proposed ownership and cadence remain subject to formal approval.

This integrated draft includes revisions to body content above; the annex below is supplementary proposed content for Council review. This draft and annex do not record live facts, completed actions, delegated authority, Council adoption or approval.

PROPOSED separation of custody, oversight and decision authority

The AI Governance Lead is proposed as operational custodian/coordinator: administer intake hand-off and Register continuity, coordinate assurance/evidence, maintain or coordinate AIG-DEC-04 gate/event records, track decisions/conditions/actions and escalate overdue or material matters. Custody and coordination do not confer substantive approval or make the Lead owner of specialist evidence.

The AI Assurance Board provides oversight, challenge, assurance opinion/recommendation and escalation within its remit. Review, receipt of reports or endorsement does not make the Board an approving body or transfer source-record custody from designated custodians/specialist owners.

Approval, rejection, waiver, acceptance of open conditions or resumption is made only by the Council person/forum holding confirmed delegated authority under Constitution and Scheme of Delegation. AIG-DEC-03 cites authoritative native minutes or controlled written decision and delegation. Board recommendation, Lead record update, checklist completion or AIG-DEC-04 status cannot substitute for the decision.

PROPOSED authoritative records and event discipline

AIG-INV-04 is the single source of canonical identity and current governance/operational state keyed by permanent Council AIR-ID. AIG-DEC-04 is controlled gate/action/event chronology; retain planned milestones separately from actual dated events with actor/role, time, source and evidence/decision reference. It supplements rather than supersedes native decision record or AIG-INV-04.

For each decision condition designate one accountable owner; record due date, evidence source, verifier, actual closure date or explicit authorised accepted-open status. The Lead coordinates traceability; only the relevant delegated decision-maker accepts residual risk/conditions within confirmed authority. Source evidence remains with its custodian and is referenced, not copied.

Proposed post-adoption suite change control — authority not yet confirmed

POST-ADOPTION CHANGE AUTHORITY GAP. This proposed Terms of Reference must name or cross-reference the competent delegated authority for amendments to the adopted governance suite, separately from each AI initiative's gate decision. Confirm the legal/delegated basis, scope and limits; who can propose, assure and approve; specialist consultation and escalation; material versus editorial thresholds; written/minuted decision, version/effective date and publication controls; and treatment of superseded records and migrations. Board oversight or Governance Lead custody does not by itself confer amendment approval. The authority and process remain unconfirmed until the Council adopts them.

Review points — not yet decided

Confirm custodians for AIG-INV-04/AIG-DEC-04, adopted Board remit/limits, delegation references by decision class and authoritative minutes repository. This clarification establishes no membership, delegation, adoption or approval.

Standards and legal applicability — proposed QA cross-reference

PROPOSED QA INDEX — NOT APPROVED LEGAL ADVICE OR EVIDENCE OF COMPLIANCE. The listed instruments may be relevant to this artefact, but applicability depends on the case, service and Council delegation. Legislation, official guidance, Council policy and voluntary standards are different authority classes. The full 54-entry requirement inventory, authoritative URLs, validation owners and current versions are in AIG-AIMS-05; source checks are in AIG-AIMS-13. Do not treat a template, plan or cross-reference as completed assessment, adopted policy, ISO conformity or legal sign-off.

Requirement / instrument	Why check it here	Source
REQ-013 — Local Government Act 1972 (including section 101) and The Council's constitution and scheme of delegation	For actual Council decision/approval, verify the current Constitution and delegation.	https://www.legislation.gov.uk/ukpga/1972/70/contents
REQ-040 — ISO/IEC 42001:2023 Artificial intelligence management system	Proposed management-system design mapping; licensed clause review and adoption needed.	https://www.iso.org/standard/42001
REQ-045 — Council Constitution, executive arrangements,	Screen the Council Constitution / Scheme of Delegation	Current Council Constitution / Scheme of Delegation reference,

schemes of delegation and committee procedure rules	requirement against this artefact's actual use and record evidence/version.	approved governance records and delegation evidence
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